18

ECONOMIC SURVEYS BY THE OECD

UNITED STATES

NOVEMBER 1963

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

PARIS

BASIC STATISTICS

THE LAND

Area - Continental United States, plus Hawaii and Alaska (thousand sq. km.)	9,363

Population of major cities, including their metropolitan areas (1960):	
New York	10,695,000
Chicago	6,221,000
Los Angeles - Long Beach	6,743,000

THE PEOPLE

Population (mid-1963)	189,280,000
Number of inhabitants per sq.km.	20
Population, annual net natural increase (average 1958-1962)	2,590,000
Net rate of annual increase per 1,000 inhabitants (average 1958-1962)	14

Labour force, including armed forces, 1962	74,681,000
— of which: employed in agriculture	5,190,000
Net civilian immigration (annual average 1958-1962)	316,000

PRODUCTION

Gross national product in 1962 (billions of U.S. dollars)	556.2
GNP per head (U.S. dollars)	2,939
Gross fixed capital formation:	
— per cent of GNP (average 1958-1962)	16
— per head (U.S. dollars, average 1958-1962)	454

Origin of national income in 1962:	
Agriculture, forestry and fishing	4%
Manufacturing	29%
Construction	5%
Other	62%

THE GOVERNMENT

Public consumption, 1962 (per cent of GNP)	19
Public construction activity, 1962 (per cent of GNP)	3
Current revenue of Federal, state and local governments, 1962 (per cent of GNP)	28
Federal Government debt, as ratio of Federal Government revenue (cash receipts), 1963 (per cent)	281

Composition of the 88th Congress, 1963:	House of Representatives	Senate
Democrats	259	68
Republicans	176	32
Total	435	100

LIVING STANDARDS

Food consumption, calories per head per day, 1961	3,190
Consumption of energy per head 1961 (metric tons of coal equivalent)	8,04
Average hourly gross earnings in manufacturing, 1962 (U.S. dollars)	2.39

Number of passenger cars in use per 1,000 inhabitants, 1961	341
Number of telephones in use per 1,000 inhabitants, 1962	432

FOREIGN TRADE

Exports:	
Exports of goods and services as per cent of GNP (average 1958-1962)	5.2
Main exports 1962 (per cent of total merchandise exports):	
Grains and grain products	10
Chemicals	9
Automobiles and parts	6
Machinery	4
Cotton	3

Imports:	
Imports of goods and services as per cent of GNP (average 1958-1962)	4.6
Main imports 1962 (per cent of total merchandise imports):	
Petroleum and products	11
Coffee	6
Non-ferrous metals	5
Paper and paperboard	5
Automobiles and parts	3

ECONOMIC SURVEYS BY THE OECD

UNITED STATES

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the O.E.C.D. shall promote policies designed :

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy ;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development ;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the O.E.C.D., which came into being on 30th September 1961.

The Members of O.E.C.D. are : Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

This document was approved
by the Economic and Development Review Committee
in November 1963.

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UNITED STATES

1. The U.S. economy has continued to expand in 1963, but the increase in output has hardly exceeded the growth of capacity, leaving the relatively high rates of unutilised resources about unchanged. And progress towards better external balance has been slow. The surplus on current account has risen, reflecting in part the improvement in the U.S. cost position, but the capital outflow rose sharply in the first half of 1963, leading to a marked deterioration of the overall balance. It is clear that the policies so far applied are not making sufficiently rapid inroads on the problems of employment, growth and the external balance; hence the importance of the proposals which, at the time of writing, are being considered by the Congress. The present chapter considers the nature of the unemployment and balance of payments problems, and discusses policies for dealing with them.

I. THE NATURE OF THE PROBLEMS

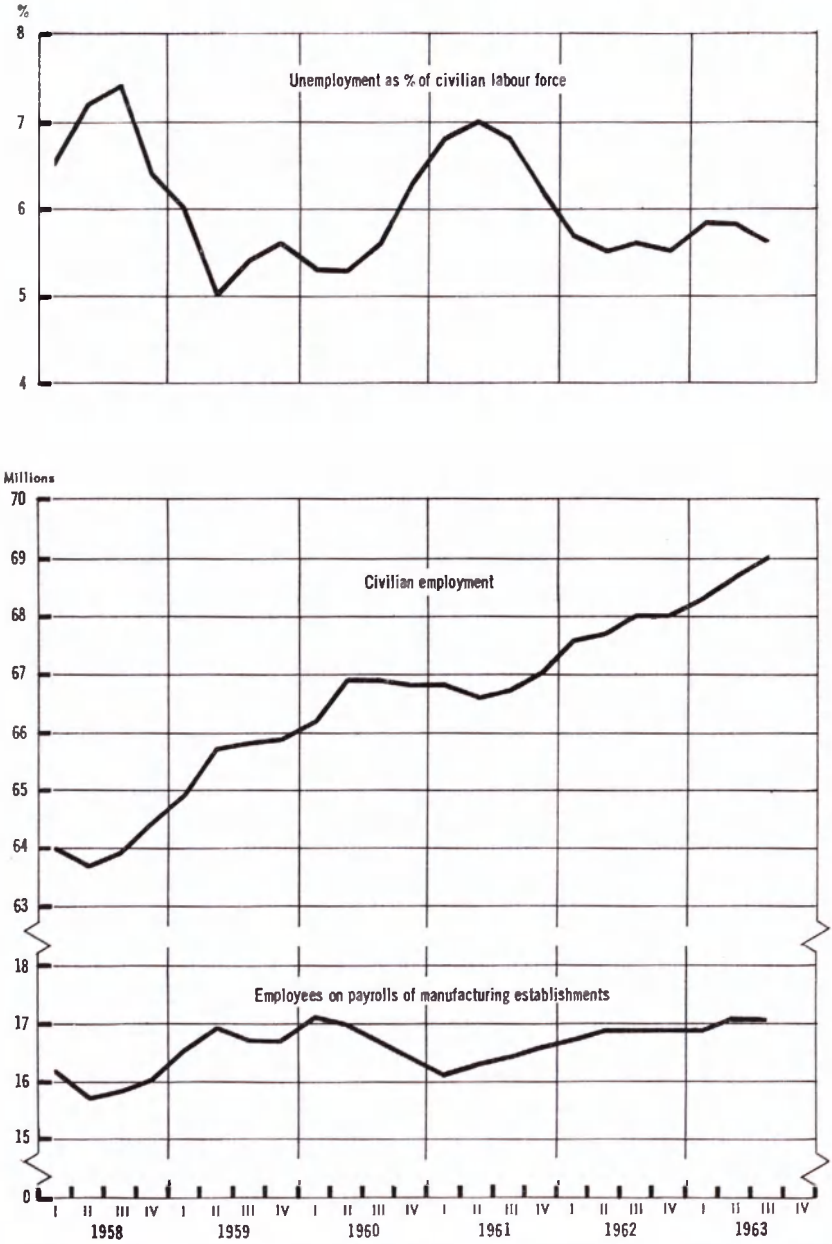
2. The unemployment and the balance of payments problems are not new. For a number of years now, unemployment has been higher than desirable and the advance of the economy has been slow. The overall balance of payments has been in deficit in every year beginning with 1950, except 1957, although the deficit only became a problem for economic policy in the late 1950's.

a) Unemployment and Growth

3. Since 1957 the number of unemployed has averaged about 6 per cent of the civilian labour force, and in no month has the rate been below 5 per cent. This performance compares unsatisfactorily with that of the earlier post-war years and with the experiences of most European countries. During the preceding decade the U.S. unemployment rate averaged 4.3 per cent, and it rose significantly above 4 per cent only in periods of cyclical slack. The higher rate of unemployment in the U.S. than in Europe can partly be ascribed to statistical and conceptual differences in the measurement of unemployment. But for the greater part the higher U.S. rate reflects real differences in the incidence of unemployment (see Table 1).

Graph I. EMPLOYMENT AND UNEMPLOYMENT

SEASONALLY ADJUSTED



Source : Survey of Current Business, Employment and Earnings, Monthly Report on the Labour Force.

TABLE 1. UNEMPLOYMENT RATES IN SELECTED COUNTRIES, 1960

Per cent of labour force.

COUNTRY	COUNTRY BASIS	COMPARABLE BASIS
U.S.	5.6	5.6
France	1.1	1.9
Germany	1.2	1.0
Great Britain	1.6	2.4
Italy	7.9	4.3
Sweden[1]	1.2	1.5

1. 1961.

Source: Measuring Employment and Unemployment: President's Committee to appraise Employment and Unemployment Statistics, Washington, 1962, p. 235.

4. An important part of unemployment in the U.S. is due to structural and frictional deficiencies in the labour market. But studies of this subject have concluded that the principal reason for the *rise* in unemployment since 1957 is insufficient demand for labour resulting from an inadequate growth of aggregate demand for goods and services.[1] The Administration believes that unemployment can be reduced to about 4 per cent by an expansion of aggregate demand without creating bottlenecks, and that subsequently it should be possible to aim at progressively lower rates.

5. During the 1957-62 period the real gross national product per head of population rose by only 1.2 per cent a year, less than the 2.1 per cent rate achieved in the preceding decade. Since capacity has risen faster than output, a gap between potential and actual output emerged in the middle of the 1950's and has persisted ever since, averaging more than 6 per cent of potential output after 1957.[2]

6. The failure of demand to rise fast enough to ensure satisfactory rates of growth and employment reflects a structural imbalance between potential savings (private and public combined) and the propensity to invest in the domestic economy. The nature of the problem may be illustrated by the fact that an 8 to 9 per cent increase in the GNP would be required between 1962 and 1963 to reduce unemployment to 4 per cent; current trends point to a 3 to 4 per cent increase. While part of the increase in GNP would be absorbed by private consumption and public expenditure, an expansion of the size indicated might well generate an increase in national savings of as much as 20 per cent.

1. See for instance: *a)* The Joint Economic Committee's study entitled "Higher Unemployment Rates 1957-1960; Structural Transformation or Inadequate Demand?" *b)* The Economic Report of the President together with the Annual Report of the Council of Economic Advisers for 1962 and 1963.

2. Estimated by the Council of Economic Advisers, assuming that capacity has been growing at a rate of 3½ per cent a year.

But for these savings to materialise, investment would have to rise pari passu. There are, however, no indications that, in the absence of budgetary stimulus, private demand will strengthen sufficiently in the near future to take up the slack in the economy.

7. After an initial spurt, the recovery that began in 1961 slowed down considerably in 1962, well short of full employment conditions but expansion has been more rapid in 1963. GNP gains, in current prices, during the first three quarters were $6.6, $7.8 and $8.9 billion respectively, at annual seasonally adjusted rates. Following stability in the second half of 1962, the seasonally adjusted index of industrial production rose steadily in 1963 up to August, when temporary factors related to automobiles and steel led to a decline. And there was only a fractional improvement in September. The expansion of demand shifted somewhat from personal consumption and government expenditure in the first quarter to investment in the second, with a pick-up in both residential construction and business fixed asset formation. Inventory investment rose in the first quarter, influenced by the risk of a steel strike, and remained relatively high in the second quarter. In the third quarter the rise in demand was fairly broadly based except for a small decline in net exports of goods and services. But the rise in activity has not been strong enough to absorb the slack in the economy; unemployment has remained at or above 5.5 per cent, with little change in the gap between actual and potential output. Prices are no higher than a year ago, although they have risen slightly in recent months. There have been some scattered examples of business experimenting with upward price moves — a disquieting tendency in present circumstances with internal slack and external deficit.

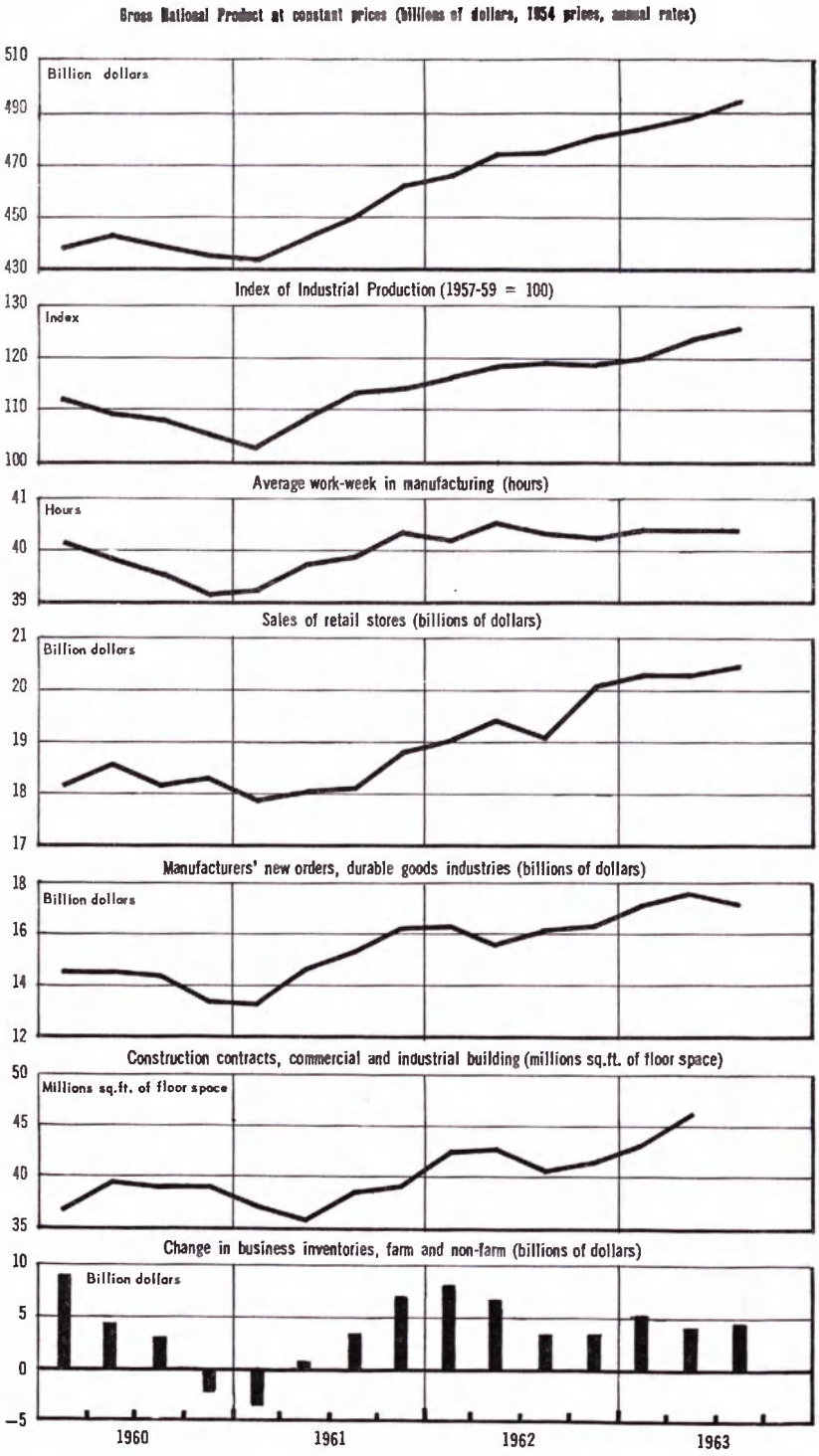
8. Current trends point to a further moderate expansion in the final quarter of the year, and 1963 as a whole is likely to show an increase in the gross national product of 5 per cent in value and 3.5 per cent in volume. Government purchases of goods and services should continue to rise. The latest survey of the Department of Commerce and the Securities and Exchange Commission confirmed the earlier expectation that business fixed investment is likely to be 5 per cent higher in 1963 than in 1962. With little increase in the first half of the year, this implies a stronger advance in the second half. But residential construction, although remaining high, is not likely to rise much, and inventory demand may fall off, following the exceptional build-up of steel inventories in the first half of the year. Private consumption should continue to rise in line with non-consumption expenditure. The pace of the advance is therefore likely to remain moderate and, in the absence of further stimulus, prospects for 1964 would be uncertain.

b) The Balance of Payments Problem

9. The nature and the size of the balance of payments problem has been the subject of much analysis and discussion, and little

Graph II. BUSINESS INDICATORS

SEASONALLY ADJUSTED



Source : Business Cycle Developments, U.S. Department of Commerce.

new can be said about it. In brief, the situation is that a relatively large surplus on goods and services account is more than offset by external payments related to military expenditure, development aid, and private capital exports. Since the current account is in surplus, the United States is increasing its net foreign assets (see Table 2). But the increase is concentrated in long-term and non-liquid assets; net short-term liabilities are increasing and the gold stock is declining — i.e. the liquidity position is becoming less favourable. Although the U.S. reserve position is still strong, it is clear that the external imbalance has to be corrected.

TABLE 2. INTERNATIONAL INVESTMENT POSITION AND GOLD

$ billion.

	1950	1961	1962
Total U.S. Assets abroad	31.5	75.0	80.1
U.S. Private Total	19.0	55.5	59.8
of which Long-term)	(17.5)	(49.0)	(52.6)
(Short-term)	(1.5)	(6.5)	(7.2)
U.S. Government	12.5	19.5	20.3
Liabilities to Foreigners, Total	18.4	46.9	47.4
of which Long-term	8.0	21.4	20.2
Short-term and U.S. Government claims	10.4	25.4	27.2
U.S. Gold	22.8	16.9	16.1

1. Including IMF Position and convertible currency holdings.
Source: Survey of Current Business.

10. The size of the deficit varies according to the definition adopted. The overall balance — the net change in official monetary assets and in liquid liabilities to foreigners — does not show the full size of the deficit which has to be financed since special payments from foreign governments,[1] arranged to help the financing of the deficit, have already been taken into account. It is useful, from this point of view, to look at the balance on regular transactions which excludes these special government transactions. The U.S. concept of this deficit differs somewhat from the concepts used by most other countries to reckon their balance of payments position, because it regards increases in liquid liabilities to private foreign holders (and not only to foreign

1. Prepayment of debt, advances on military purchases and purchases of non-marketable government securities.

monetary authorities) as a part of the deficit, and not as a short-term capital inflow which improves the balance of payments.[1]

11. Nevertheless, the deficit on regular transactions is a meaningful concept insofar as it measures the amount that the U.S. authorities have to finance from their stock of gold and foreign exchange, or by allowing short-term claims on their currency to rise, or by arranging special transactions with other governments or central banks. The amount thus to be financed has been reduced somewhat from the high level it reached in the 1958-60 period. But progress towards a more balanced position has been less fast than generally expected earlier; in fact the gross deficit rose in 1962 and the first half of 1963, but it fell sharply in the third quarter.

12. Over the last year the current account has improved, largely because of a better trade balance. In the first half of 1963, the trade surplus was running at a seasonally adjusted annual rate of $4.7 billion, up about $400 million from the figure for calendar year 1962 but below the level of calendar year 1961 when imports were depressed by the recession. Exports are rising steadily and imports are rising more slowly than aggregate domestic expenditure. To some extent the rise in exports can be ascribed to the progressive tying of aid to purchases in the United States. But the strengthening of the trade balance is also related to the improvement in the competitive position of U.S. industry; over recent years prices and costs have remained practically stable in the United States, but have risen in most European countries.

13. But the improvement of the current balance has been more than offset by the increase in the outflow of private capital, on both long- and short-term account. U.S. direct investment abroad has been steady in recent years at rather more than $1.5 billion, but rose to an annual rate of more than $1.9 billion in the first half of 1963. During recent years, there has been a very pronounced switch within the total away from primary production, mostly in the Western Hemisphere, to manufacturing in industrialised countries, notably in Europe. The reasons for these developments are well-known; market prospects for many raw materials are less bright than a decade ago, strong expansion and the creation of preferential trading areas in Europe have encouraged U.S. firms to set up or to acquire factories inside the future tariff walls, while the slow growth of the U.S. economy has left firms with less incentive to invest at home. At the same time, slack conditions in the United States have not been conducive to foreign direct investment from abroad.

14. The outflow of portfolio capital has risen strongly over the last eighteen months, mainly reflecting an increase in the volume of new foreign issues, from $0.5 billion in 1961 to $1.1 billion in 1962,

1. It should also be noted that the treatment of private short-term holdings is assymmetrical in the sense that the U.S. authorities regard an increase in their own private sector's holdings of short-term foreign assets as a capital outflow.

TABLE 3. BALANCE OF PAYMENTS OF UNITED STATES, 1958-1963[1]

$ *million.*

Line No.		ANNUAL AVERAGE 1958-1960	1961	1962	1963 (SEAS. ADJ. ANNUAL RATE) I QTR	II QTR	III QTR
1.	Commercial merchandise exports[2]	15,462	17,676	18,134	17,560	18,548	
2.	Commercial merchandise imports	—14,328	—14,497	—16,145	—15,880	—16,540	
3.	Commercial trade balance	1,134	3,179	1,989	1,680	2,008	
4.	Commercial services, remittances, pensions (net)	889	1,425	1,586	1,608	1,116	
5.	Commercial balance	2,023	4,604	3,575	3,288	3,124	
6.	Military expenditures (net)[3]	— 2,884	— 2,541	— 2,355	— 2,256	— 2,072	
7.	Government grants and capital payments abroad[4]	— 992	— 1,116	— 1,073	— 940	— 1,044	
8.	Govt. debt payments excl. fundings & prepayments	567	533	516	416	484	
9.	Private long-term capital, total (net)	— *2,085*	— *2,143*	— *2,495*	— *4,088*	— *3,580*	
	a) U.S. direct investment (net)	— 1,416	— 1,598	— 1,557	— 2,004	— 1,848	
	b) New issues of foreign securities[5]	— 717	— 523	— 1,076	— 2,024	— 2,080	— 700
	c) Transactions in outstanding securities[5]	— 232	— 353	— 55	— 192	— 208	
	d) Redemptions and other long-term U.S. capital[5]	— 124	— 135	— 78	80	— 316	
	e) Seasonal adjustment for long-term U.S. portfolio	—	—	—	88	128	
	f) Foreign long-term capital (net)	404	466	271	— 36	744	
10.	Short-term private capital (net)[6]	— 574	— 1,475	— 716	232	— 2,308	
11.	Errors and omissions	72	— 905	— 1,025	— 488	272	
12.	Balance on regular transactions	— 3,873	— 3,043	— 3,573	— 3,836	— 5,124	— 1,540
13.	Special government transactions	155	673	1,387	1,832	684	
14.	Balance incl. special govt. transactions except non-marketable redeemable medium-term govt. securities	— 3,718	— 2,370	— 2,186	— 3,404	— 5,048	— 1,000
15.	Balance including all special govt. transactions	— 3,718	— 2,370	— 2,186	— 2,004	— 4,440	— 300

1. Excluding military transfers under grants.
2. Excluding exports financed by Govt. grants and capital.
3. Excluding advances on military exports.
4. Dollar payments to foreigners and to international institutions.
5. Not seasonally adjusted.
6. Excluding changes in foreign liquid assets in the U.S. and, beginning with 1960, repayments of private U.S. credits financed by government loans.

Source : 1960-1963 data, Survey of Current Business ; 1958-1959 data largely from Balance of Payments Statistical Supplement but include some rough estimates of U.S. Govt-financed exports.

TABLE 4. PRICES AND COSTS IN SELECTED COUNTRIES, 1962

Indices 1958 = 100.[1]

COUNTRY	WHOLESALE PRICES	UNIT LABOUR COSTS IN MANUFACTURING
United States	100	96
Canada	96	92
France	88	97
Germany	108	127
Italy	101	96
Netherlands	103	112
United Kingdom	107	112

1. Adjusted to take account of changes in exchange rates.

Source: O.E.C.D. Statistical Bulletin, National sources, and Secretariat estimates.

and to an annual rate of over $2 billion in the first half of 1963. The rise can mainly be ascribed to heavy Canadian borrowing, following the restoration of confidence in the Canadian dollar. But the volume of new issues placed by other countries has also increased. The increase in foreign borrowing is no doubt strongly related to the easy monetary conditions prevailing in the United States, with funds easily available at relatively low interest rates, and with a highly developed market organisation at the disposal of potential borrowers; it probably also reflects increasing pressure of demand for funds abroad and the difficulty of raising the level of long-term borrowing in Europe, where capital markets are narrower and institutional arrangements still inadequate to needs.

TABLE 5. U.S. CAPITAL OUTFLOW FROM NEW FOREIGN ISSUES 1960-1963

$ million.

	1960	1961	1962	1963 FIRST HALF *(Preliminary)*[1]
Canada	227	237	457	632
Europe	24	57	195	221
Other countries	225	217	340	173
International Bank for Reconstruction and Development	97	12	84	—
Total	573	523	1,076	1,026

1. Not seasonally adjusted.

Source : Survey of Current Business, balance of payments data.

15. The outflow of short-term funds fell off considerably in 1962 from the exceptional level of 1960-1961, mainly reflecting lower Canadian and Japanese borrowing. The movement of the item "unrecorded transactions", which is generally assumed to reflect capital flows, went somewhat against the United States in 1962. In the first half of 1963, the outflow of short-term funds was more than double that for 1962 as a whole but the deficit under unrecorded transactions was much smaller.

16. In recent years, the deficit on regular transactions has, to a growing extent, been financed by special government transactions; in the first half of 1963 these amounted to an annual rate of $1.3 billion (see Table 6). The accumulation of liquid dollar assets by foreigners, both private and official, remains an important item. The outflow of gold totalled $0.9 billion in 1962, the same as in 1961, but fell to an annual rate of about half that amount in the first half of 1963.

TABLE 6. FINANCING OF BALANCE OF PAYMENTS DEFICITS

$ billions.

	1958-1960	1961	1962	1963 (ANNUAL RATES, NOT SEASONALLY ADJUSTED)	
				I	II
Deficit on regular transactions	—3.9	—3.1	—3.6	—3.2	—4.8
Financed by :					
1. Special government transactions : Total	0.1	0.7	1.4	1.8	0.6
of which :					
Non-scheduled receipts on Government loans	—	0.7	0.7	0.1	0.1
Advance on military exports	—	—	0.5	0.1	—
Sales of non-marketable medium-term non-convertible securities	—	—	0.3	0.2	—
Sales of non-marketable medium-term convertible securities	—	—	—	1.4	0.6
2. Increase in liquid liabilities to foreign private holders	[0.8]	1.1	0.2	1.6	0.6
3. Increase in liquid liabilities to foreign official holders	[0.9]	0.7	0.5	—0.3	3.0
4. Changes in I.M.F. position	0.3	—0.1	0.6	—0.2	—
5. Changes in official currency reserves	—	—0.1	—	—0.1	—
6. Gold sales (+)	1.6	0.9	0.9	0.4	0.5

Source : Survey of Current Business.

17. The deficit is likely to fall in the second half of 1963, particularly in view of the very sharp decline in the third quarter. The trade surplus may not show further advance but the steady increase in net invisibles receipts should continue. Military expenditure abroad is being reduced; and the capital ouflow may decline appreciably, partly because the

exceptional level of Canadian borrowing in the first half of the year was in any case unlikely to continue, and partly because the proposed new tax on securities transactions should have a moderating influence on the outflow on porfolio account. Moreover, the recent rise in U.S. short-term rates should reduce the outflow of liquid funds so long as offsetting increases in interest rates do not take place abroad.

II. U.S. STRATEGY FOR SOLVING THE PROBLEMS

18. The combination of internal slack and an external deficit is an unusual one. Typically a balance of payments deficit is associated with excess rather than deficient demand, with no conflict between internal and external policy requirements; policies to restrict demand are good for the foreign balance. In existing U.S. conditions measures to stimulate domestic demand and growth will no doubt lead to higher imports. But faster growth is likely to have a favourable influence on other items of the balance of payments, including exports and capital movements. Although the possibility cannot be excluded that stronger expansion will lead to some temporary increase in the external deficit, it is becoming increasingly clear that a strong domestic economy is a condition for a solution of the balance of payments problem and that there is much less conflict between internal and external policy requirements than might be thought. Therefore the U.S. Administration is, appropriately, determined to solve the two problems together. The policies adopted to this end can conveniently be discussed in relation to the main objectives of economic policy : growth, balance of payments equilibrium, and price stability.

a) Policies Related to Unemployment and Growth

19. Two sets of measures can be distinguished. First, although the rise in unemployment since the middle of the 1950's cannot be attributed to structural changes, frictional and structural unemployment are important problems, and a number of measures have been taken to deal with them. These include programmes related to regional development, education and re-training, and measures to improve the functioning of the labour market. Second, steps have been taken to expand aggregate demand, through fiscal, monetary and debt management policies.

20. *Fiscal Policy.* Tax revision is the principal instrument of U.S. economic policy to achieve faster growth. In 1962, more liberal depreciation allowances and an investment tax credit were adopted, representing a tax reduction for business of about $2 billion a year — about 8 per cent of corporate profits after tax. A tax bill was presented to Congress in January, 1963, an amended version of which has been approved by the House of Representatives and is now before the Finance

Committee of the Senate. The bill provides for a gross tax cut of $11.7 billion to be introduced over the next two years, two-thirds of the reduction taking effect as from 1st January, 1964. Personal taxes may be reduced by $9.5 billion and corporate taxes by $2.2 billion. Tax reforms should offset about $0.6 billion of the gross tax cut.

21. The main purpose of these tax measures is to reduce the heavy drag which the fiscal system now exerts on personal and business purchasing power, thus stimulating faster and more appropriate expansion of the economy. Although the budget proposed in January 1963 represented a rather more expansionary budgetary policy, it still implied a large full employment surplus on national income account of some $7 to $8 billion. The swing from deficit to surplus is one of the major sources of the increase in national savings which full employment would generate, representing almost 2 per cent of the gross national product. The tax cut at present under consideration by Congress would represent a significant step towards a more appropriate budget policy, correcting the existing imbalance between the propensities to save and invest both by reducing government saving and by strengthening incentives to invest.

TABLE 7. FEDERAL BUDGET

$ billion.

YEAR	OUT-TURN[1]	IMPLIED FULL EMPLOYMENT SURPLUS
1960	+3.5	+12
1961	—4.5	+10
1962	—4.3	+8
1963	—3.8[2]	+8

1. National accounting concept, calendar years.
2. First half, seasonally adjusted, at an annual rate.

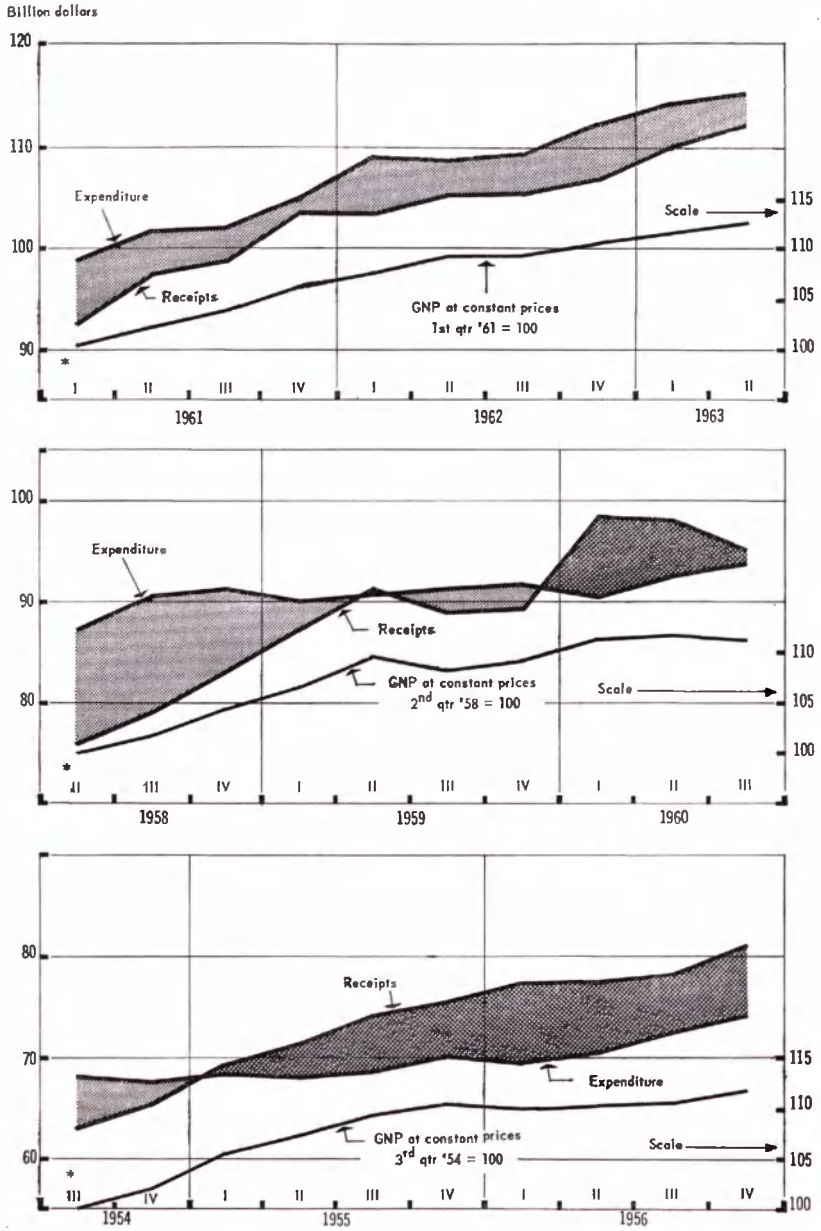
Sources : Survey of Current Business and Council of Economic Advisers.

22. A stimulus to aggregate demand could alternatively have been provided through an increase in government expenditures at existing tax rates. But a cut in taxes was thought to be more appropriate for a number of reasons, including the effects on prices, productivity and incentives and the opportunity it gave to make some needed improvements in the structure of direct taxation.

23. The tax cut will, if adopted, lead to a temporary increase in the budget deficit, but to a smaller one than the tax cut itself suggests, since the effect of the cut on budget receipts will partly be offset by the growth of the tax base generated by the tax cut. Indeed, it is through expansionary policies leading to faster growth and to a larger tax base that the budget deficit can be eliminated.

Graph III. FEDERAL BUDGET RECEIPTS AND EXPENDITURE DURING CYCLICAL UPTURNS

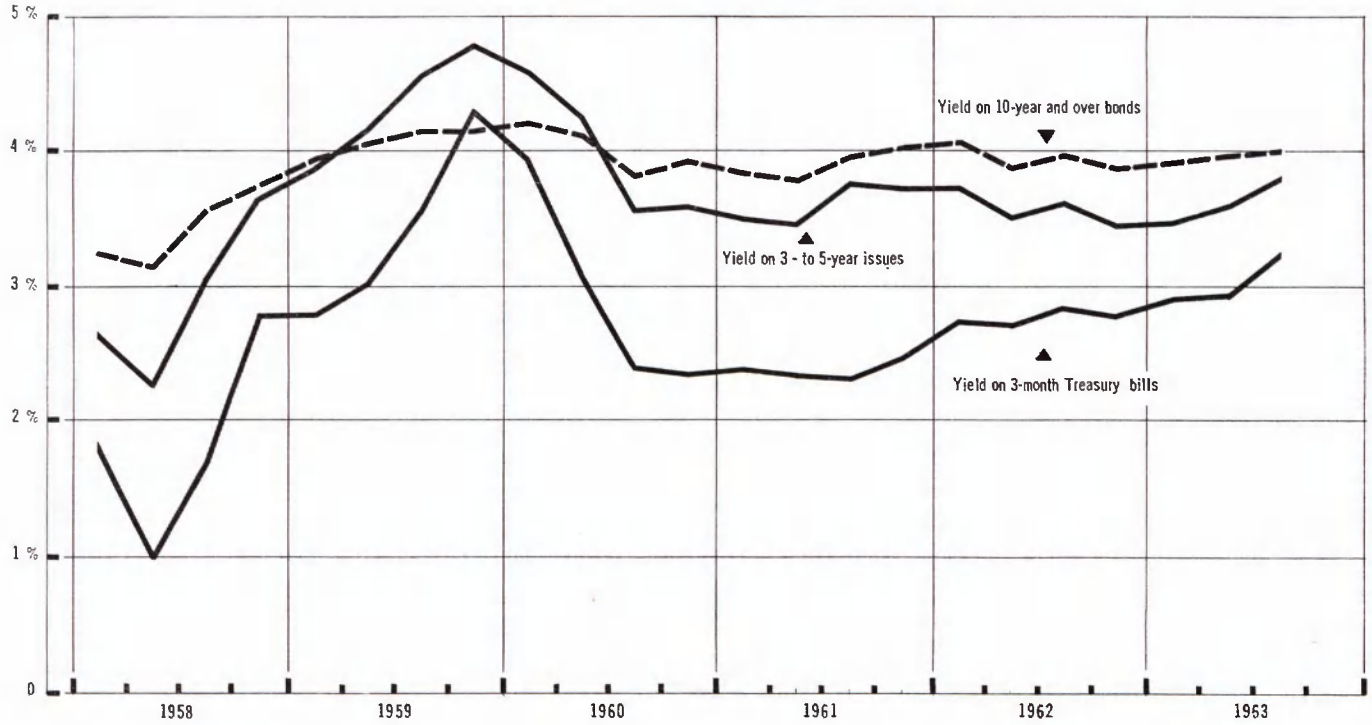
Billions of dollars at current prices, seasonally adjusted, at annual rates
National accounts basis



* Trough of recessions.

Source : Survey of Current Business.

Graph IV. INTEREST RATES



Source : Survey of Current Business.

24. The economic role of the budget, and the significance of budget deficits, were dealt with at some length in the Organisation's last review of the United States.[1] Since the budget is a major policy instrument, its balance should not, by itself, be regarded as a policy objective. The true test of the success of fiscal policy is not whether the budget is in surplus or deficit, but whether the economy as a whole is in balance.

25. *Monetary and Debt Management Policies.* Over the last two years the dual objectives of monetary policy and debt management have been to stimulate domestic expansion and to limit the capital outflow. Whilst taking care to maintain short-term interest rates at levels comparable to those prevailing abroad, thus discouraging the outflow of liquid funds, the authorities have operated so as to ensure adequate liquidity in the economy and to maintain the availability of long-term funds at interest rates conducive to economic growth.

26. In implementing this policy the Federal Reserve System has made use of open market operations, reserve requirements and the discount rate. It has continued to operate in all maturity sectors, providing some of the bank reserves by purchases of government securities with maturities of over one year, thus avoiding pressure on long-term interest rates relative to short-term interest rates. The Treasury's debt management operations and the open-market operations of the Federal Reserve have been coordinated. New cash financing has been concentrated in the short-term area, but at the same time a number of advance refunding operations have helped to lengthen the average maturity of the public debt.

27. Over the year ending mid-1963, the Federal Reserve increased its holdings of U.S. Government securities by about $2 billion, and the reserve position of the banks was also strengthened by some reduction of the obligatory reserve requirements on time deposits. But in the first half of 1963 the Federal Reserve adopted a slightly less active policy towards credit ease. The free reserves of the banks have been reduced from a level of about $400 million in the second half of 1962 to less than $150 million by the autumn of 1963. In line with this the yield on 3-month Treasury bills edged upwards from 2.87 per cent at the end of 1962 to over 3 per cent in the summer of 1963.

b) Policies to Improve the Balance of Payments

28. Price stability is a key element in U.S. strategy to restore external equilibrium; the improvement in the current account surplus hoped for over the next few years will, as the Brookings Institute has recently pointed out, require prices to rise less in the United States than in Europe. The maintenance of stable costs and prices in recent years, at a time of considerable price increases in many other countries, has led to an improvement in the competitive position of U.S. industry,

1. Economic Surveys by the O.E.C.D.; the United States, Paris, November 1962.

TABLE 8. MONEY AND BANKING

	1962				1963		
	1ST QTR.	2ND QTR.	3RD QTR.	4TH QTR.	1ST QTR.	2ND QTR.	3RD QTR.
FEDERAL RESERVE BANKING SYSTEM *(Billion dollars, averages of daily figures)*							
Total member bank reserves	19.7	19.8	20.0	19.9	19.6	19.7	19.7
Member bank free reserves	0.5	0.4	0.4	0.4	0.3	0.2	0.1
ALL COMMERCIAL BANKS *(Billion dollars, seasonally adjusted averages of daily figures)*							
Assets :							
Loans	122.4	125.3	127.7	132.8	136.4	139.0	143.3
U.S. Government Securities ..	66.0	65.6	64.5	64.4	65.6	64.7	62.1
Other Securities	24.7	26.4	27.9	28.9	30.1	31.9	33.6
Liabilities :							
Demand deposits	114.8	115.0	114.5	116.6	117.0	117.1	117.9
Time deposits	85.8	89.7	92.6	96.0	100.4	103.6	106.6
INTEREST RATES *(Per cent, averages of daily rates during last week of quarter or month)*							
3-month Treasury bills	2.72	2.72	2.79	2.86	2.90	2.99	3.38
Long-term Government bonds ...	4.01	3.90	3.94	3.87	3.93	4.00	4.04

Source : Federal Reserve Bulletin.

with a favourable influence on the trade balance. But it takes time for changes in the price and cost position to show their full effects, and a number of other measures have been taken to strengthen the foreign balance. In addition to an interest rate policy designed to limit the outflow of short-term funds, the authorities' programme has been directed at stimulating exports, reducing the net outflow of dollars through publicly-financed aid and military expenditure overseas, and providing attractive investment outlets for the dollars accumulated by foreigners.

29. Over the last year the export drive has been intensified, and the Administration has made further efforts to reduce the balance of payments impact of government expenditure abroad. The share of government grants and credits resulting in a direct dollar outflow was reduced from 25 per cent in the full year 1962 to just over 20 per cent in the first half of 1963; further cuts are expected as current commitments are reflected in disbursements. Military expenditure abroad is being reduced, and military sales to other countries are being increased.

30. The authorities have also taken new initiatives to lighten the immediate drain of the external deficit on the U.S. gold stock. In 1962 the U.S. Treasury sold to foreign monetary authorities $251 million worth of non-marketable medium-term securities denominated in the currencies of the purchasers. To meet the liquidity requirements of

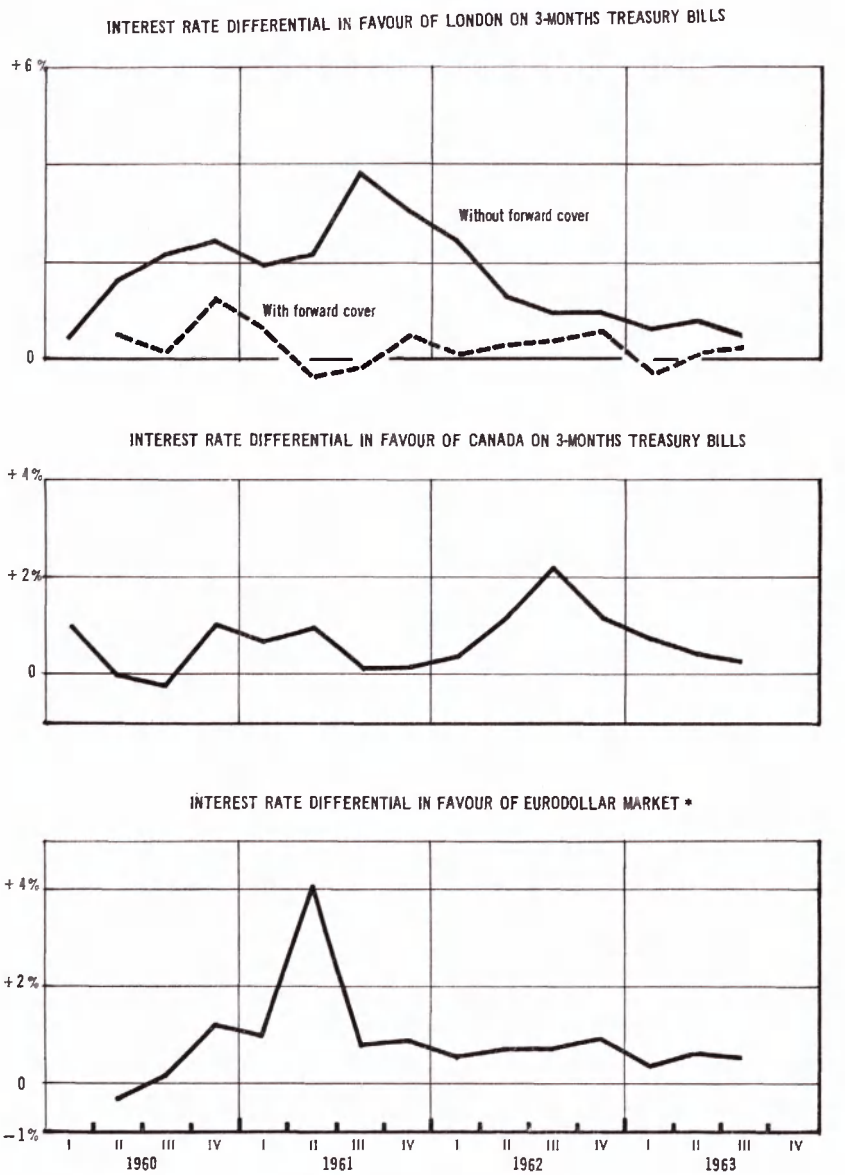
central banks, most of the issues sold in 1963 ($735 million by mid-October) carry a conversion clause, permitting conversion into short-term currency obligations on two days' notice. The Federal Reserve System's network of reciprocal open lines of credit (swap agreements) to meet sudden strains on the balance of payments, has been expanded to include ten foreign central banks and the Bank for International Settlements, bringing the total volume of these standby credits in October, 1963 up to $1.95 billion. The mutual swap agreement between the United States and the United Kingdom has been increased from $50 million to $500 million.

31. But while the measures referred to above are helping to contain the gross deficit and ease the problem of its financing, it is clear that the restoration of external equilibrium requires a significant reduction in the outflow of U.S. private capital. In the first half of the present year the recorded outflow of such capital was running at an annual rate of $5.2 billion, and it became clear that stronger measures to reduce it were needed. In July, action was taken on three fronts : an arrangement to draw on the IMF, monetary measures to reduce the outflow of short-term capital, and an interest equalisation tax to reduce the outflow of long-term portofio capital.

32. By 1963 a technical difficulty prevented the further absorption of dollars by the IMF under repayments obligations. This had been an important means of financing the deficit in 1962, but by the end of that year the IMF was holding nearly the maximum amount of dollars permitted by its rules, except in the case of a U.S. drawing. In July 1963, the U.S. arranged a standby agreement for $500 million with the IMF, so as to open once more this channel for the use of dollars by foreign countries. Countries wishing to make repayment to the IMF, but who might have been unable, without this agreement, to use their dollar reserves for the purpose, can now buy, say, DM from the U.S. against dollars and pay these DM to the IMF; the U.S. is able to obtain the DM from the IMF by drawing on its standby credit. The arrangement is important not only in itself, but as marking general acceptance of the fact that, in appropriate circumstances, there is no reason why the U.S. should not have recourse to the IMF in the same way as other countries.

33. To reduce the outflow of short-term funds, the discount rates at most Federal Reserve Banks were raised from 3 to 3.5 per cent in July, and commercial banks were authorised to pay up to 4 per cent on time deposits and certificates with maturities of 90 days to one year; previously they could only pay 2.5 per cent in the 90 to 180 day bracket and 3.5 per cent in the six-month to one-year bracket. Long-term rates, which had fallen somewhat in the second half of 1962, also rose slightly in the first six months of the present year, regaining the mid-1962 level, although the very important mortgage rate continued to decline.

Graph V. SHORT-TERM INTEREST RATE DIFFERENTIALS BETWEEN THE U.S., AND U.K., CANADA AND THE EURODOLLAR MARKET



* United States commercial paper ; 3-months Eurodollar deposit rate.

Source : U.S. Survey of Current Business, O.E.C.D. General Economic Statistics, U.K. Financial Statistics.

34. To curb the outflow of long-term portfolio capital, Congress has been asked to approve a special tax on purchases of foreign securities by American nationals from foreigners. The details of the tax and its mode of application are complex. In brief, the rate is 15 per cent on the value of shares and a graduated amount of from 2.75 to 15 per cent on bonds with more than three years to run according to the date of maturity. The tax will correspond to an increase in the cost of borrowing by foreigners in the U.S. market of about 1 percentage point. The tax does not apply to direct investment. The proposed law would allow exemption from the tax on new issues if necessary to avoid imperilling the stability of the international monetary system. The U.S. authorities have indicated that it is their hope and expectation that it will prove possible to have an unlimited exemption for Canada without adverse effects on the U.S. The U.S. authorities do not believe that this exemption will in any way reduce the balance of payments benefits which had been anticipated from the tax in light of the statement of Canadian authorities that it would not be the desire or intention of Canada to increase her foreign exchange reserves through the proceeds of borrowing in the U.S.

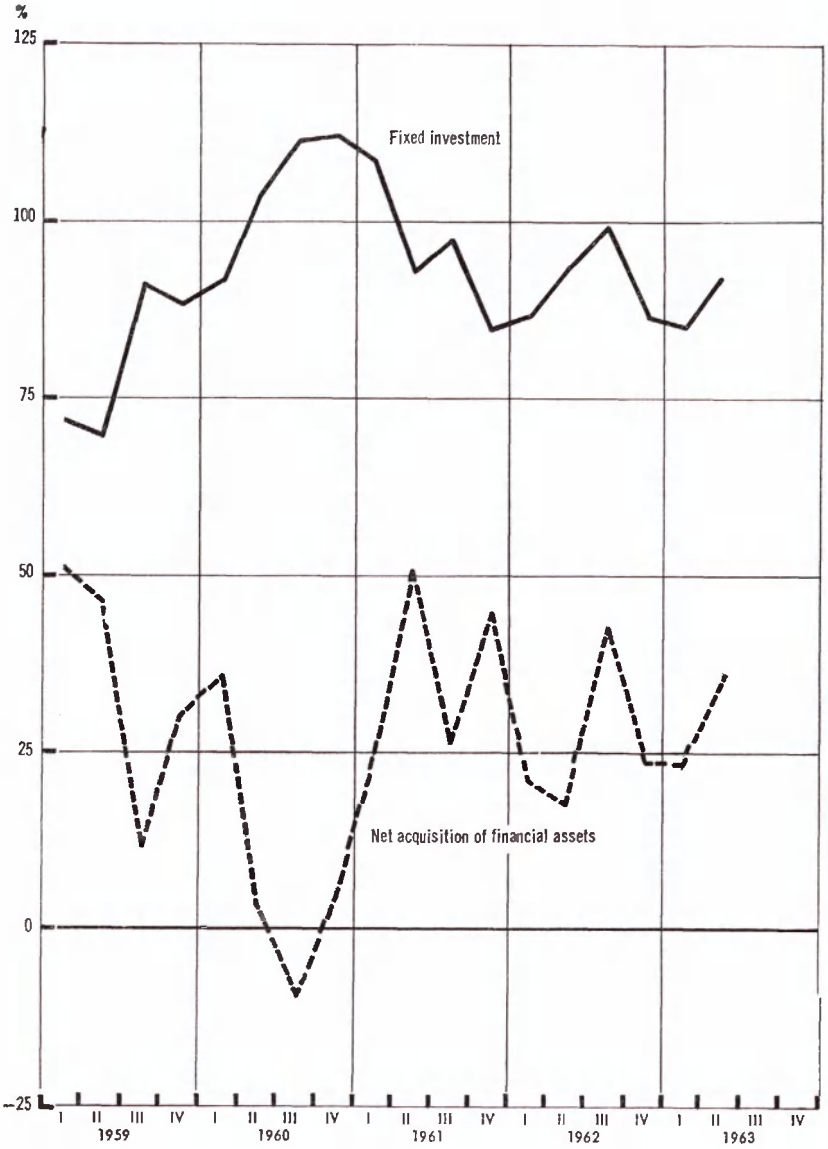
35. The outflow of the types of capital affected by the tax amounted to over $1 billion in 1962 and a higher rate in the first half of 1963. Initially, the uncertainty prevailing while the proposal is before the Congress has resulted in a virtual cessation of new issues likely to be subject to the tax. When enacted the tax should certainly serve to discourage potential foreign borrowers. The extent to which it does so will depend, amongst other things, on whether other countries are able to prevent their long-term interest rates from rising pari passu (the cost of borrowing would still be rather lower than in most other financial centres) and whether adequate funds can be found elsewhere.

36. New York is virtually the only sizeable market where, at present, funds are readily available. Past experience suggests that the availability of funds, and the highly-developed nature of the market mechanism, are key elements in the outflow. There may be a danger that the outflow will remain undesirably high so long as the supply of credit is ample in relation to domestic demand for it, although the form of outflow may change somewhat. This situation could, however, be modified either by reducing the supply of credit or by adopting the tax measures now under consideration so as to stimulate domestic demand.

37. Further measures to tighten monetary conditions will, no doubt, be avoided so far as possible in present circumstances, when there is considerable slack. Private enterprise normally relies upon external financing for about one-third of its funds; about 80 per cent of the cost of new homes is financed by mortgage credit; consumers use credit to finance a substantial part of their purchases of durable goods, notably about three-fifths of their expenditure on motor cars; and borrowing costs are an important determinant of the volume of investment undertaken by States and local authorities.

Graph VI. CORPORATE INVESTMENT IN FIXED AND FINANCIAL ASSETS

Percentage of gross savings ; seasonally adjusted



Source : Federal Reserve Bulletin.

TABLE 9. FUNDS RAISED BY FOREIGNERS IN U.S. CREDIT AND EQUITY MARKETS

	$ *billion.*
1957	1.4
1958	2.3
1959	0.8
1960	2.0
1961	2.8
1962	2.3
1963 (1st half)[1]	4.0

1. Seasonally adjusted, annual rate.

Source : Federal Reserve Bulletin.

38. There are grounds for believing that a more satisfactory approach to balance of payments equilibrium will lie in measures to ensure faster growth. Full employment in mid-1963 would probably have raised the import bill by about $1 billion. But it would probably also have had a favourable effect on exports :

a) faster expansion would be accompanied by strong advances in productivity and technology;

b) U.S. imports weigh heavily in the export earnings of certain other countries, notably Canada and Latin America. It is likely that higher imports from such countries would be followed by higher exports to them;

c) stronger expansion in the United States would bring a new dynamic element into the world economy, leading to faster growth of international trade and greater possibilities for U.S. exports.

39. It is likely that faster expansion will be accompanied by increased domestic credit demand, leaving less incentive for funds to be lent abroad. The ease or tightness of monetary conditions depends in part only on the supply of funds; with a given liquidity base, monetary and credit conditions may be easy or tight, and interest rates low or high, depending on the demand for credit. Faster expansion with stronger domestic demand for credit would be likely

a) to increase the relative attractiveness of the United States as a market in which to invest, for both domestic and foreign enterprises;

b) to render more difficult the placing of foreign issues in New York;

c) to encourage foreign purchases of U.S. shares;

d) to leave less funds in the banks available for lending abroad.

40. This analysis suggests that it is fiscal rather than monetary policy which has been inappropriate. Inadequate budgetary stimulus to expansion has thrown a too heavy burden upon monetary policy.

An early change in fiscal policy is required. Enactment of the tax cut now under consideration by Congress should, if not accompanied by undue restraint on the expenditure side, lead to greater internal demand for credit and increase the freedom of monetary policy.

c) MEASURES TO MAINTAIN PRICE STABILITY

41. The main weapons relied upon to maintain price stability are the strengthening of the forces of competition in the economy, and measures to improve the mobility of labour. In 1961, the President took the lead in alerting public opinion to the dangers of price rises in relation to the proposed increase in steel prices. In 1962, the annual report of the Council of Economic Advisers put forward a set of guideposts for non-inflationary wage and price behaviour. These guideposts called for a limit to wage increases fixed by the overall rate of growth of productivity and for reductions in prices in trades where productivity gains were higher than the national average.

42. For several years now the problem of rising prices has been less urgent in the United States than in Europe because the overall cost level has remained very stable. But this stability has been strongly influenced by the slack conditions prevailing in the economy. Stable prices will be more difficult to maintain when the economy approaches full employment conditions. It is, however, essential that price stability should be maintained in the United States, especially since many European countries seem to be increasingly determined to arrest the rise of costs and prices. Experience suggests that the maintenance of price stability in a full employment economy requires an active price and wages policy on the part of the authorities. Apart from continued efforts to ensure that the forces of competition operate freely in the economy it may be necessary to intensify efforts to ensure that the national interest is taken into account in the process of determining prices and wages.

III. CONCLUSIONS

43. A number of important conclusions can be drawn from developments over the last two years :

a) The measures now in effect have not raised demand to the extent that would be desirable. Easy monetary conditions and the fiscal measures which were taken to stimulate investment in 1962 have had an effect in the right direction, but they have not been sufficient to overcome the drag on business investment exerted by the continued high rate of unused capacity.

b) Faster expansion requires a correction of the tendency of the budget to move into surplus well short of full employment

conditions. Approval by the Congress of the tax cut now under consideration would provide a significant expansionary stimulus.

c) The advantages of a budget with a more expansionary impact may go beyond the achievement of a more adequate growth rate or employment level. Faster growth can importantly assist in a solution of the balance of payments problem. Stronger expansion might be accompanied by a temporary worsening of the external balance, with imports rising faster than exports. After some initial worsening, the current account should be expected to improve if adequate policies can be devised to keep costs competitive when the economy moves towards full employment. But it is clear that progress towards external balance also requires a significant reduction in the private capital outflow and, in the longer term, it is desirable that this should be achieved through faster growth. Faster growth would be accompanied by stronger domestic credit demand, leaving less funds available for export and at the save time leaving the authorities in a better position to use monetary policy for balance of payments purposes.

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STATISTICAL ANNEX

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Table I. NATIONAL PRODUCT AND EXPENDITURE IN CONSTANT (1954) PRICES

	Personal Consumption Expenditures	Gross Private Domestic Investment	New Construction	Producers Durable Equipment	Net Changes in Business Inventories	Net Exports of Goods and Services	Government Purchases of Goods and Services	Of Which: Federal	Of Which: State and Local	Gross National Product
	1	2	3	4	5	6	7	8	9	10
1950	216.8	55.9	27.4	21.3	7.2	0.2	45.1	21.6	23.5	318.1
1951	218.5	57.7	26.0	22.0	9.7	2.2	63.3	39.3	24.1	341.8
1952	224.2	50.4	26.0	21.8	2.6	1.2	77.7	53.3	24.5	353.5
1953	235.1	50.6	27.6	22.5	0.5	—0.9	84.3	58.8	25.5	369.0
1954	238.0	48.9	29.7	20.8	—1.6	1.0	75.3	47.5	27.7	363.1
1955	256.0	62.5	33.9	22.5	6.1	0.9	73.2	43.5	29.7	392.7
1956	264.3	61.7	32.3	25.0	4.5	2.5	72.3	41.7	30.6	400.9
1957	271.2	58.1	31.8	24.6	1.6	3.8	75.5	43.2	32.2	408.6
1958	273.2	49.0	31.1	19.4	—1.5	—0.2	79.3	44.5	34.8	401.3
1959	288.9	61.7	34.4	21.4	5.9	—2.1	80.1	43.9	36.2	428.6
1960	298.1	60.2	34.4	22.7	3.1	1.7	79.9	42.3	37.6	439.9
1961	303.6	57.5	34.7	21.0	1.7	2.3	84.3	44.8	39.5	447.7
1962	317.6	65.2	36.7	23.8	4.8	1.8	90.2	49.0	41.2	474.8
1960[1] 1st quarter	295.8	65.3	34.7	22.5	8.0	0.3	78.5	42.0	36.5	439.9
1960[1] 2nd quarter	299.5	61.6	34.4	23.3	3.9	1.1	79.9	42.6	37.3	442.1
1960[1] 3rd quarter	298.6	59.4	34.1	22.8	2.6	2.0	80.2	42.4	37.8	440.2
1960[1] 4th quarter	298.6	54.5	34.3	22.1	—1.9	3.4	80.6	42.2	38.4	437.1
1961[1] 1st quarter	298.5	49.7	33.1	20.2	—3.6	3.6	82.3	43.1	39.1	434.0
1961[1] 2nd quarter	302.2	55.6	34.2	20.2	1.2	1.9	83.7	44.6	39.1	443.4
1961[1] 3rd quarter	304.5	59.9	35.5	21.3	3.1	1.9	84.2	44.6	39.5	450.4
1961[1] 4th quarter	309.2	64.7	36.0	22.4	6.3	1.7	87.4	47.0	40.4	463.1
1962[1] 1st quarter	313.0	64.4	34.7	22.7	7.0	0.9	89.4	48.7	40.7	467.8
1962[1] 2nd quarter	315.9	66.0	36.8	23.6	5.7	2.6	89.5	48.8	40.7	474.0
1962[1] 3rd quarter	318.6	64.8	37.8	24.2	2.9	2.3	89.9	48.8	41.1	475.6
1962[1] 4th quarter	322.9	65.2	36.9	24.8	3.4	1.4	91.9	49.6	42.3	481.4
1963[1] 1st quarter	325.5	64.6	35.7	24.0	4.9	1.8	93.4	50.6	42.9	485.3
1963[1] 2nd quarter	327.0	66.4	37.3	25.3	3.8	2.8	93.2	51.0	42.1	489.4
1963[1] 3rd quarter										494.3

1. Seasonally adjusted quarterly totals at annual rates.

Source : Department of Commerce.

TABLE II. PRODUCTION, EMPLOYMENT

	UNIT OR BASE	1960
INDUSTRIAL PRODUCTION (seasonally adjusted indices) :	1957-59 = 100	
1. Total index[1]		108.7
2. Manufacturing, total		108,9
3. Durable manufactures[2]		108.5
4. Primary metals		101.3
5. Fabricated metals		107.6
6. Transportation equipment		108.2
7. Non-durable manufactures[2]		109.5
8. Food and beverages		106.6
9. Textile-mill products		105.0
10. Petroleum products		106.5
11. Mining		101.6
MANPOWER		
12. Total labour force, including armed forces[3]	thousands	73,126
13. Civilian labour force, total	(monthly	70,612
14. Employed	averages	66,681
15. Unemployed	seasonally	3,931
16. Unemployment as % of civilian labour force.... (seasonally adjusted)	adjusted) percentage	5.6
MANUFACTURERS' NEW ORDERS NET (seasonally adjusted) :		
17. Total	$ billions	29.90
18. Durable goods industries	(monthly	14.24
19. Non-durable goods industries	averages)	15.66
MANUFACTURERS' UNFILLED ORDERS (seasonally adjusted) :		
20. Total	$ billions	45.51
21. Durable goods industries	(end of period)	42.89
22. Non-durable goods industries	—	2.62
23. MANUFACTURERS' INVENTORIES (book value, seasonally adjusted) :	$ billions (end of period)	53.74
MANUFACTURERS' SALES (seasonally adjusted) :		
24. Total	$ billions	30.41
25. Durable goods industries	(monthly	14.68
26. Non-durable goods industries	averages)	15.73
PERSONAL INCOME (quarterly totals seasonally adjusted at annual rates) :	$ billions	
27. Total		400.8
28. Wage and salary disbursements		271.3
29. Other labour income		11.0
30. Proprietors' income		46.2
31. *of which* : Farm		12.0

1. This index includes utilities in addition to the major product groups shown separately.
2. These indices cover other products in addition to items 4-6 and 8-10.
3. Total labour includes unadjusted armed forces data since no seasonal correction is needed for that series. Data from 2nd quarter 1962 onwards are not comparable with prior data ; to obtain comparability add 212,000 to total and civilan labour force, 205,000 to employed and 8,000 to unemployed.

Source : Department of Commerce, Department of Labor and Federal Reserve System.

AND OTHER BUSINESS INDICATORS

1961	1962	1962				1963		
		1st QTR.	2nd QTR.	3rd QTR.	4th QTR.	1st QTR.	2nd QTR.	3rd QTR.
109,8	118.3	116.1	118.2	119.5	119.3	120.2	124.3	125.9
109.7	118.7	116.3	118.7	120.0	119.8	120.8	124.9	126.3
107.0	117.9	115.5	118.0	118.9	119.0	120.2	125.3	125.9
98.9	104.6	115.3	103.8	98.1	99.8	105.6	124.4	113.7
106.5	117.1	112.9	118.3	119.6	117.6	118.7	122.9	126.4
103.6	118.3	112.7	117.6	121.7	121.7	122.3	126.2	127.9
112.9	119.8	117.0	119.5	121.3	120.9	121.5	124.5	126.7
110.3	113.5	112.1	113.0	114.5	114.3	115.3	115.8	117.1
106.9	115.2	114.4	116.5	116.8	113.3	113.4	116.3	118.5
108.7	112.9	112.4	112.4	113.4	113.6	114.7	117.0	119.7
102.6	105.0	104.3	105.2	105.9	104.7	104.4	108.4	110.9
74,175	74,681	74,521	74,552	74,877	74,692	75,240	75,640	75,854
71,603	71,854	71,650	71,680	72,060	71,942	72,516	72,904	73,107
66,796	67,846	67,584	67,714	68,042	67,953	68,298	68,717	69,051
4,806	4,007	4,066	3,966	4,019	3,989	4,218	4,186	4,055
6.7	5.6	5.7	5.5	5.6	5.5	5.8	5.7	5.5
30.96	33.05	32.99	32.74	33.11	33.54	34.52	35.48	35.54
14.74	16.02	16.21	15.71	16.02	16.31	17.09	17.56	17.29
16.23	17.04	16.78	17.03	17.08	17.23	17.43	17.91	18.27
48.41	45.85	49.00	47.91	46.66	45.85	48.25	49.47	49.69
45.21	43.00	45.86	44.90	43.73	43.00	45.43	46.52	46.58
3.20	2.85	3.14	3.02	2.93	2.85	2.82	2.95	3.11
55.20	57.40	56.57	56.91	57.19	57.40	57.91	58.77	59.07
30.73	33.26	32.70	33.31	33.46	33.57	33.85	34.98	35.56
14.54	16.20	15.93	16.23	16.34	16.33	16.39	17.13	17.35
16.18	17.06	16.77	17.09	17.12	17.24	17.46	17.84	18.21
417.4	442.1			444.5	449.9	453.9	459.9	46.52
278.8	297.1			299.4	301.5	304.5	310.8	314.6
11.4	12.1			12.2	12.3	12.4	12.6	12.7
48.1	49.8			49.8	50.3	50.6	50.0	50.5
12.8	13.3			13.2	13.4	13.5	12.6	12.1

TABLE III. PRICES AND WAGES

	UNIT OR BASE	1961	1962	1962				1963		
				1st QTR.	2nd QTR.	3rd QTR.	4th QTR.	1st QTR.	2nd QTR.	3rd QTR.
1. AVERAGE HOURLY GROSS EARNINGS IN ALL MANUFACTURING INDUSTRIES	dollars (monthly aver.)	2.32	2.39	2.38	2.39	2.39	2.41	2.43	2.45	2.45
2. CONSUMER PRICE INDEX (U.S. Department of Labor)	1957-59 = 100 (monthly aver.)	104.2	105.4	104.8	105.2	105.7	105.9	106.1	106.3	107.1
of which :										
3. Food	,,	102.6	103.6	102.9	103.4	104.1	104.0	104.8	104.5	105.9
4. All items except food	,,	104.8	106.1	105.5	106.0	106.3	106.7	106.6	107.1	107.6
5. Services	,,	107.6	109.5	108.9	109.4	109.8	110.0	110.6	111.2	111.7
6. WHOLESALE PRICE INDEX	1957-59 = 100 (monthly aver.)	100.3	100.6	100.7	100.2	100.7	100.6	100.2	100.0	100.4
of which :										
7. Farm products	,,	96.0	97.7	98.2	96.1	98.2	98.4	96.8	94.9	96.2
8. Commodities other than farm products and foods	,,	100.8	100.8	100.9	100.8	100.7	100.7	100.6	100.5	100.8

Source : Department of Labour.

TABLE IV. GOVERNMENT RECEIPTS AND EXPENDITURES, INCOME AND PRODUCT ACCOUNT, 1958-63

CALENDAR YEAR BASIS; QUARTERS SEASONALLY ADJUSTED AT ANNUAL RATES

$ billion.

	1958	1959	1960	1961	1962	1962			1963		
						2nd QTR.	3rd QTR.	4th QTR.	1st QTR.	2nd QTR.	3rd QTR.(*p*)
Federal Government Receipts	78.5	90.3	96.6	98.2	105.4	105.6	105.6	107.1	110.0	112.3	..
— Personal tax and non-tax receipts	36.6	40.4	44.0	45.1	49.0	49.3	49.4	49.7	50.0	50.4	51.1
— Corporate profits tax accruals	17.7	22.0	21.0	20.7	20.8	20.7	20.5	21.5	21.5	22.6	..
— Indirect business tax and non-tax accruals	11.9	13.0	14.0	14.2	15.2	15.2	15.2	15.4	15.7	16.0	16.5
— Contributions for social insurance	12.4	14.9	17.6	18.2	20.4	20.4	20.5	20.5	22.8	23.3	23.6
Federal Government Expenditures	87.9	91.4	93.1	102.8	109.8	108.6	109.1	112.4	114.5	115.3	115.7
— Purchases of goods and services	52.6	53.6	53.1	57.4	62.4	61.9	62.4	63.6	65.5	66.5	66.6
— Transfer payments	21.3	22.2	23.8	27.4	28.3	27.8	28.1	29.2	30.1	29.7	29.8
— Grants-in-aid to State and local government	5.4	6.7	6.3	7.0	7.7	7.7	7.5	8.1	8.2	8.5	8.7
— Net interest paid	5.6	6.4	7.1	6.9	7.2	7.1	7.2	7.3	7.4	7.5	7.6
— Subsidies less current surplus of government enterprises	3.0	2.5	2.8	4.1	4.2	4.2	3.9	4.2	3.4	3.0	3.1
Surplus (+) or deficit (—) on income and product account	—9.4	—1.1	3.5	—4.5	—4.3	—3.0	—3.6	—5.3	—4.6	—3.0	..

p. Preliminary.

Source : Department of Commerce.

TABLE V. FOREIGN TRADE AND PAYMENTS

	UNIT OR BASE	1960	1961	1962	1962				1963		
					1st QTR.	2nd QTR.	3rd QTR.	4th QTR.	1st QTR.	2nd QTR.	3rd QTR.
1. Treasury gold stock	$ billions (end of period)	17.77	16.89	15.98	16.61	16.44	16.07	15.98	15.88	15.73	15.58
2. Short-term claims on foreigners	"	3.61	4.80	5.11	4.97	4.88	4.81	5.11	5.06	5.47	5.38[1]
3. Short-term liabilities to foreign countries reported by banks in the United States.	"	17.26	18.78	19.87	18.86	19.56	19.58	19.87	20.17	20.99	20.96[1]
4. Volume of imports	1953 = 100	140	138	156	150	155	156	164	151	162	
5. Volume of exports	"	120	120	124	120	135	119	123	120	140	
6. Average value of imports	"	100	98	96	97	97	96	96	96	97	
7. Average value of exports	"	107	110	110	111	109	109	109	110	110	
8. Terms of trade	"	107	111	113	114	112	114	114	115	114	

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Sources : Board of Governors of the Federal Reserve System.

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